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PRAPHUL KUMAR was in for the shock of his life. While casually checking his credit score one day, he saw it at a low 650, instead of his usual score of 870. That set alarm bells ringing. “I dug in and read through the credit report, and found there are loans running [in my name]. I never applied for these loans. They were given without my consent and knowledge. My personal details such as date of birth and address were also not valid,” says the 33-year-old Pune-based businessman, adding that his PAN card details were used to obtain the loan. The amounts were small—₹5,000 and ₹56,000—but they hit his credit score, and impacted his credit profile.

Kumar isn’t alone. Bollywood actors Rajkumar Rao and Sunny Leone also tweeted that their PAN details were used by a third party to take loans of small amounts up to ₹2,500.

These incidents of identity theft indicate why it’s necessary to keep a close tab on one’s financial health. An easy way of doing it is by checking your credit score regularly. But what is a credit score? How do credit bureaus have so much sensitive data on you? And what is there in your credit score report? Let’s take a look.

The Magic Number

A credit score is a three-digit number assigned to an individual on a scale of 300-900 points. It is based on the unique algorithm of each bureau, with a score of 750 or above considered good. Credit bureaus score you primarily on six factors (see *6 Factors that Decide Your Credit Score*).

Your credit score is also directly linked to the interest rate. If you have a good score, you can get the best

rates in the market. But if your score is poor, you may not be able to get a loan despite meeting other eligibility criteria. “Your credit score reflects your financial health and credit-worthiness. It is the first thing that credit institutions check when you apply for a loan or a credit card,” says Radhika Binani, Chief Product Officer, Paisabazaar.com, a marketplace for loans and credit cards. She adds that a credit score is not something one can build or improve in a few days, but takes several months. And even if one has a good credit score, one needs to handle credit responsibly to maintain it. “A consistently good credit score goes a long way towards making you credit fit for future financial requirements such as getting a home loan or availing credit at a reasonable interest rate in case of an emergency,” she says.

Your credit score becomes more important in light of the growing popularity of Buy Now, Pay Later schemes. Given the availability of easy money, many tend to opt for these loans without realising that a default will impact their credit score.

Dealing with Data

If you’ve ever taken a loan or applied for one, then the lending institution shares your repayment history with the credit bureaus. Given that credit information bureaus are entities under the ambit of the Reserve Bank of India (RBI), they are considered safe repositories of information.

A credit score has many advantages for borrowers as well. For example, it helps banks decide on a borrower’s creditworthiness. With credit bureaus collating the data under one umbrella, it helps in tracking the financial profile of the person and, in turn, gives borrowers better access to credit.

Is a credit score sensitive data? Can its misuse and appropriation harm customers? “In India, it is a regulated activity as the four bureaus have a licence [each] from the RBI. When you say licence, it means

the RBI has oversight on them. So, whatever function they are performing like storing and using data, it all comes under the regulatory ambit. India is one of the most advanced markets, almost comparable to the US or the UK... [which] have extremely high standards,” says Anurag Sinha, Co-founder and CEO of OneScore, an app to check and monitor credit scores.

Experts say the data is not used to establish the identity of an individual but to create a credit profile to provide services. The report is triggered only when the individual asks for it. “Though the data is collated by bureaus, it is shared only when the borrower applies for a loan. That way it is always generated on the demand of the customer,” he adds.

However, a Supreme Court ruling in 2017 said that the right to privacy is a universal human right. Hence, to combine privacy protection with credit reporting, the RBI has come out with the account aggregator framework that gives users greater control over their financial data. Under the framework, by accessing authorised apps, users can pull together financial data such as tax returns, spending patterns and GST tax filings to prove their creditworthiness. Given that the framework went live only in September 2021, it has the potential to expand the credit market for Indians with new levels of data security and consumer control, as users will be able to decide what to share, with whom, and for how long. The only challenge is that people should understand the concept of consent before allowing apps access to their financial data.

The Personal Data Protection Bill will further define storing and processing of personal data by entities without the explicit consent of an individual.

Understand Your Score

But how do you get your credit score? You can download it from one of the credit bureaus—CIBIL,